Module Task

Executive Summary

This report presents an ABC (Pareto) analysis of product categories based on total revenue, profit, and cost for 2017.

The results confirm the Pareto principle: a small number of categories generate the majority of business value. Categories such as **Office Supplies, Cosmetics, and Household** are key drivers, contributing most of the revenue and profit.

The analysis also highlights differences between revenue, cost, and profitability. High revenue does not always result in high profit due to varying cost structures. For example, **Cereal** shows strong revenue performance but relatively lower profit, indicating lower margins and potential inefficiencies.

On the other hand, several categories (e.g. **Snacks, Beverages, Fruits**) contribute minimally to overall performance while still generating costs, suggesting opportunities for optimization.

Key conclusions:

- A categories are critical for business growth and should be prioritized
- Revenue alone is not sufficient — cost and profitability must be considered
- Some high-revenue categories have lower margins due to higher costs
- Low-performing categories present opportunities for cost optimization

Recommendation:

Focus on strengthening high-performing categories, improving margins in high-revenue segments by optimizing costs, and reassessing low-impact categories to enhance overall efficiency.